Canada Bread Company, Limited

Interim Report to Shareholders

for the **Second Quarter** ended June 30, 2003



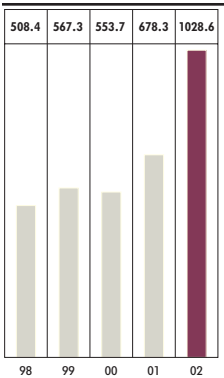
Delivering Results



Quarterly Financial Information

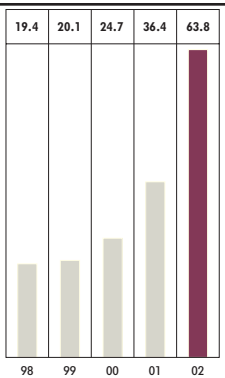
The following is a summary of unaudited quarterly financial information for the first half of the year ended June 30, 2003, and the years ended December 31, 2002 and 2001 (millions of dollars except per share amounts). In accordance with changes in generally accepted accounting principles, effective January 1, 2002, the Company no longer amortizes goodwill. The 2001 (pro forma) numbers in this table have been restated to take into account this change.

2003	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	YTD
Sales	$ 309	$ 313	$ —	$ —	$ 622
Earnings from operations, before unusual items	14	15	—	—	29
Earnings from operations	7	15	—	—	22
Net earnings before unusual items	8	9	—	—	17
Net earnings	3	9	—	—	12
Net earnings per share before unusual items	0.34	0.36	—	—	0.70
Net earnings per share (basic)	0.14	0.36	—	—	0.50
Net earnings per share (diluted)	0.14	0.35	—	—	0.50
2002					
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Earnings from operations	11	17	19	17	64
Net earnings	7	10	12	10	39
Net earnings per share	0.30	0.47	0.55	0.48	1.80
2001					
Sales	$ 137	$ 148	$ 155	$ 238	$ 678
Pro forma earnings from operations	7	8	10	15	40
Pro forma net earnings	4	5	7	8	24
Pro forma net earnings per share	0.19	0.21	0.33	0.39	1.12



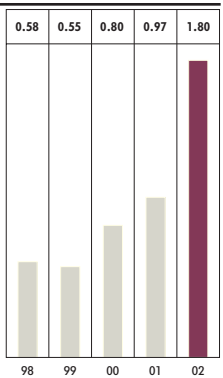
SALES
(millions of dollars)

Sales surpassed the $1 billion mark.



EARNINGS FROM OPERATIONS
Before unusual items
(millions of dollars)

Strong earnings reflects internal growth of 8% as well as contributions from acquisitions.



EARNINGS PER SHARE
Before unusual items
(dollars)

Earnings per share increased 61% over the prior year.

Report To Shareholders
Management's Discussion and Analysis

The second quarter financial results for Canada Bread reflect volume increases in both our fresh and frozen par-baked operations. This solid performance was partially offset by a labour dispute at a Quebec distribution centre and higher input costs affecting the U.S operations that were not passed on through price increases.

Sales for the quarter increased 22% to $312.5 million from $255.3 million for the prior year period, while sales for the first six months increased 28% to $621.5 million compared to $486.8 million for the prior year. The increase in sales was primarily due to the contribution from Maple Leaf Bakeries operations, which were acquired in the fourth quarter of 2002.

Earnings from operations decreased 8% to $15.3 million from $16.7 million last year. Earnings in the quarter were affected by the costs of a strike at one of the Company's distribution centres in Quebec and one-time costs associated with the integration of the Company's fresh bakery operation in Atlantic Canada. Excluding the effects of these unusual items, earnings for the quarter would have reflected an increase of 8% from last year. In the U.S. operations, rising input costs had some impact on margins as not all costs could be passed on through price increases. Year-to-date earnings from operations, not including a $7.4 million pre-tax charge in the first quarter related to a plant closure, increased 7% to $29.5 million from $27.7 million last year.

The Company continued to grow market share in the commercial fresh bread market, driven by its value-added focus and strong brands. Frozen par-baked sales continued to increase and significant new customer accounts secured in the second quarter will contribute to growth in this business through the rest of the year. The Company's U.K. bakery operations and North American fresh pasta operations recorded increased earnings in the second quarter, based on continuing strong bagel growth in the United Kingdom, and the introduction of a variety of new pasta and sauce offerings in Canada and the U.S. under the *Olivieri* brand.

Interest expense for the second quarter increased to $2.2 million from $1.1 million for the prior year period, due to higher debt levels arising from the acquisition of the Maple Leaf Foods bakery assets in the United States and the United Kingdom late in 2002.

Net earnings for the second quarter were $9.2 million ($0.36 per share), compared to $10.0 million ($0.47 per share) last year, reflecting the lower operating earnings and higher interest expenses, and the effect of the issuance in the first quarter of four million shares from treasury. Net earnings for the first six months were $12.5 million ($0.50 per share) compared with $16.4 million ($0.77 per share) last year. After adjusting for the restructuring charge in first quarter, year-to-date net earnings were $17.3 million ($0. 70 cents a share).

In July the Company completed the acquisition of Parisco Limited of Richmond Hill, Ontario. Parisco is a leading producer of high quality Belgian style waffles and has been producing *Dempster's* Fresh Waffles for Canada Bread since the product was launched in early 2003. The acquisition will support Canada Bread's expansion into the breakfast waffle market.

In the third quarter of 2002, the Company acquired Olafson's Baking Inc. ("Olafson's") of Delta British Columbia. As at June 30, 2003, the Company has committed to a restructuring plan for the integration of Olafson's and had completed the purchase accounting for this acquisition.

The Company declared a dividend of $0.06 per share payable on October 1, 2003 to shareholders of record on September 12, 2003.

While some unusual and one-time expenses affected our financial performance in the second quarter, we remain extremely optimistic about the progress we are making to integrate the acquisitions we have made over the last two years and capture the synergies in our combined organization. Realizing these opportunities to reduce costs and improve operating efficiencies, combined with the innovation we continue to bring to the marketplace, will continue to drive our top line and bottom line growth.

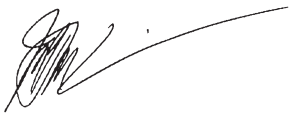
Forward Looking Statements

This document contains forward-looking statements and information, which are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, the statements. Refer to the Company's annual report, management information circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

July 23, 2003

Consolidated Balance Sheets

In thousands of Canadian dollars	As at June 30, 2003	As at June 30, 2002	As at December 31, 2002
ASSETS	*(Unaudited)*	*(Unaudited)*	*(Audited)*
Current assets:			
Cash	**$ 6,873**	$ 17,611	$ 12,389
Accounts receivable (note 3)	**61,206**	28,543	59,911
Due from related company	**—**	8,103	—
Inventories	**30,567**	22,425	30,512
Future tax asset	**8,128**	4,638	5,274
Prepaid expenses	**9,057**	2,640	2,490
	115,831	83,960	110,576
Property and equipment	**318,716**	235,685	334,606
Other long-term assets	**4,397**	4,575	3,098
Goodwill and other intangibles	**328,163**	151,610	346,083
	$ 767,107	$ 475,830	$ 794,363
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Accounts payable and accrued charges	**$ 148,980**	$ 97,481	$ 159,937
Dividends payable	**1,525**	1,285	1,285
Income and other taxes payable	**7,659**	5,366	11,862
Current portion of long-term debt	**7,055**	8,536	7,954
	165,219	112,668	181,038
Long-term debt (note 5)	**153,704**	60,266	274,435
Future tax liability	**32,011**	37,903	34,179
Shareholders' equity	**416,173**	264,993	304,711
	$ 767,107	$ 475,830	$ 794,363

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except per share amounts *(Unaudited)*	Quarter ended June 30, 2003	Quarter ended June 30, 2002	Six months ended June 30, 2003	Six months ended June 30, 2002
Sales	**$ 312,516**	$ 255,341	**$ 621,508**	$ 486,837
Earnings from operations before unusual items	**15,335**	16,747	**29,519**	27,656
Unusual items (note 2)	**—**	—	**(7,422)**	—
Earnings from operations	**15,335**	16,747	**22,097**	27,656
Other income	**153**	—	**264**	27
Earnings before interest and income taxes	**15,488**	16,747	**22,361**	27,683
Interest expense	**2,191**	1,122	**4,768**	2,056
Earnings before income taxes	**13,297**	15,625	**17,593**	25,627
Income taxes	**4,114**	5,585	**5,092**	9,161
Earnings before minority interest	**9,183**	10,040	**12,501**	16,466
Minority interest	**—**	—	**—**	57
Net earnings for the period	**$ 9,183**	$ 10,040	**$ 12,501**	$ 16,409
Earnings per share – basic	**$ 0.36**	$ 0.47	**$ 0.50**	$ 0.77
Earnings per share – diluted	**$ 0.35**	$ 0.47	**$ 0.50**	$ 0.77
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.12**	$ 0.12
Weighted average number of shares (millions)	**25.4**	21.4	**24.8**	21.4

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars except per share amounts *(Unaudited)*	Six months ended June 30, 2003	Six months ended June 30, 2002
Retained earnings, beginning of period	**$ 247,746**	$ 214,189
Net earnings for the period	**12,501**	16,409
Dividends declared ($0.12 per share; 2002 – $0.12 per share)	**(3,050)**	(2,570)
Retained earnings, end of period	**$ 257,197**	$ 228,028

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Quarter ended June 30, **2003**	Quarter ended June 30, 2002	Six months ended June 30, **2003**	Six months ended June 30, 2002
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings for the period	**$ 9,183**	$ 10,040	**$ 12,501**	$ 16,409
Items not affecting cash:				
Depreciation	**9,201**	7,574	**18,753**	14,810
Minority interest	**—**	—	**—**	57
Future income taxes	**(567)**	(1,143)	**(4,138)**	(1,462)
Gain on sale of property and equipment	**(91)**	—	**(168)**	(27)
Changes in non-cash operating working capital	**(12,572)**	5,148	**(24,617)**	(9,395)
	5,154	21,619	**2,331**	20,392
Financing activities				
Dividends paid	**(1,525)**	(1,285)	**(2,810)**	(2,570)
Increase (decrease) in long-term debt, net	**10,301**	19,509	**(91,398)**	23,689
Increase in share capital	**—**	—	**106,000**	—
	8,776	18,224	**11,792**	21,119
Investing activities				
Additions to property and equipment	**(14,143)**	(5,189)	**(19,923)**	(8,108)
Proceeds from sale of property and equipment	**143**	—	**284**	817
Purchase of net assets of businesses, net of cash acquired	**—**	(15,944)	**—**	(15,944)
	(14,000)	(21,133)	**(19,639)**	(23,235)
Increase (decrease) in cash and cash equivalents for the period	**(70)**	18,710	**(5,516)**	18,276
Cash and cash equivalents (bank indebtedness), beginning of period	**6,943**	(1,099)	**12,389**	(665)
Cash and cash equivalents, end of period	**$ 6,873**	$ 17,611	**$ 6,873**	$ 17,611

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Notes to Consolidated Financial Statements

(For the quarters ended June 30, 2003 and June 30, 2002)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2002. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2002.

In accordance with the provisions of CICA Handbook Section 3062, Goodwill and Other Intangible Assets, the Company has completed its annual goodwill impairment test. The results of this test have indicated there is no impairment to the book value of goodwill.

2. Unusual Items

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2003, trade accounts receivable amounting to $50.0 million (June 30, 2002 – $45.5 million) had been sold under these programs.

4. Acquisitions

In the third quarter of 2002, the Company acquired Olafson's Baking Inc. ("Olafson's") of Delta British Columbia. As at June 30, 2003, the Company has committed to a restructuring plan for its acquisition of Olafson's and has completed the purchase accounting for this acquisition. Included in the acquisition provisions are accruals for $4.4 million related to costs associated with the restructuring.

5. Long-Term Debt

	Quarter ended June 30,	
	2003	2002
External long-term debt	**$101,817**	$ 68,802
Debt with Maple Leaf Foods Inc.	**78,942**	—
	180,759	68,802
Less: Current portion	**7,055**	8,536
Portion classified as equity	**20,000**	—
	$153,704	$ 60,266

In 2003, the Company entered into a five-year cross-currency swap with Maple Leaf Foods Inc. ("Maple Leaf") to hedge U.S. dollar denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on U.S. $140.0 million and receive interest of 4.45% per annum on Cdn $219.6 million. The debt with Maple Leaf is net of the fair value of the swap.

6. Shareholder's Equity

On January 28, 2003, the Company issued 4 million shares to Maple Leaf from Treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106 million were used to pay down debt under the Company's existing credit facility with Maple Leaf.

7. Contingencies and Commitments

In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $17 million. The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

8. Subsequent Events

On July 4, 2003, the Company purchased the assets of a waffle manufacturer located in Richmond Hill, Ontario for $6.5 million. The purchase price is subject to final closing adjustments.



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